

Foreign Exchange Policy Department

Bangladesh Bank

Head Office

Dhaka.

www.bb.org.bd

FE Circular No. 06

Date: 30 January, 2014

All Authorized Dealers of
Foreign Exchange in Bangladesh

Dear Sirs,

Pledging of collateral in favor of overseas bank branches and correspondents.

Attention of the Authorized Dealers (ADs) is invited to paragraph 13, Chapter 16 of Guidelines for Foreign Exchange Transactions (GFET)-2009, Volume-1.

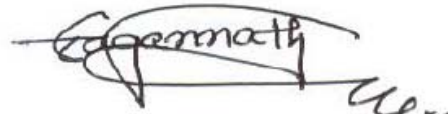
02. As per the Guidelines under reference, it is mentioned that ADs may not, without prior approval of Bangladesh Bank, furnish guarantees to or hold collaterals on behalf of overseas bank branches or correspondents in respect of credit facilities or guarantees to be extended by them or for any other purpose.

03. It has now been decided that ADs may, without prior approval of Bangladesh Bank, hold collaterals on behalf of overseas bank branches or correspondents in respect of external borrowing by industrial enterprises as approved by Board of Investment.

04. Other instruction of the aforementioned paragraph shall remain unchanged.

Please bring the content of this circular to the notice of all concerned.

Yours faithfully,



(Jagannath Chandra Ghosh)

Deputy General Manager

Phone: 9530092